Research Statement – Tom Schwantje

I am an organisational economist studying how organisations in low-income countries, and banks in particular, make decisions. My research asks how firms structure managerial decision-making: whom they give authority to, how much discretion they delegate, and how rules and norms shape managers' decisions once authority has been delegated. This is particularly relevant in low-income countries, where limits to delegation can constrain firms' ability to expand output and create employment (Akcigit, Alp and Peters, 2021). The first strand of my research studies how firms allocate authority, with a particular focus on banking. The second studies how managers make decisions once they hold authority, and the role of rules and norms in shaping those decisions.

Research Area I: Delegation and Organisational Design in Banks

Banks channel trillions of dollars in new credit to firms every year, making them arguably the single most important allocators of capital in modern economies. The importance of financial development and the allocation of capital for economic growth is well established (Rajan and Zingales, 1998; Wurgler, 2000). Yet we know relatively little about the internal organisational processes through which lending decisions are made. This is particularly pressing from a policy perspective: banks' private objectives, such as profitability and growth, do not always align with their broader social role of directing credit toward productive firms and supporting economic development. When banks misallocate capital, the costs are borne not just by shareholders but by the firms that fail to grow.

As lending relies on the acquisition and communication of information, understanding how banks delegate authority is key to understanding these decisions (Stein, 2002; Liberti and Mian, 2009). Delegation determines whose information and whose objectives drive lending decisions: branch managers hold valuable local knowledge, but may also pursue objectives that differ from those of the bank. My research studies how banks adjust their internal organisation in response to changes in these informational and incentive frictions, focusing on ethnic conflict and communication technology. Two new projects build on this work to study more directly how banks' organisational design shapes the allocation of credit.

In my job market paper "*Banking under Conflict: Managers and Organizational Design*", joint with Nicola Limodio and Luca Picariello, I study how banks adjust their internal organisation when ethnic divisions intensify. We develop a model in which banks jointly choose whom to appoint as branch manager and how much lending authority to delegate. Managers who share local borrowers' ethnicity have better information about them, but may also favour them at the bank's expense. Conflict changes the relative importance of these two frictions, shaping both managerial appointments and delegation. We test the model using a panel of 979 Ethiopian bank branches surveyed before and after the onset of the 2020 civil war, exploiting variation in banks' exposure to ethnic conflict across their pre-conflict branch networks. In cities where the bank's and city's predominant ethnic groups differ, a one-standard-deviation increase in conflict

exposure raises the probability of appointing a manager who shares the city's ethnicity by 6.7 percentage points (36 percent), while reducing delegated lending authority. This paper builds on the literature on delegation within firms (Aghion and Tirole, 1997; Dessein, 2002), but considers how firms adjust both whom they appoint to managerial positions and the authority they give them. More broadly, it shows how firms respond to changes in their economic environment by changing their internal organisation, with potential implications for how resources are allocated. We submitted this paper to the *American Economic Review* in March, and recently received a rejection with split referees. This paper is currently under review at *Econometrica*.

In a second project, "Management and Technology Adoption in Banking", I study how banks respond to a different change in the costs of acquiring and communicating information: improvements in internet access. Whereas conflict raises the potential costs of delegating authority, communication technology decreases the cost of centralisation. We extend the World Management Survey to Ethiopian banks and develop a model building on Bloom et al. (2014), incorporating the role of management practices and financial technology adoption. We find that better internet access is associated with improved management practices and faster technology adoption at the branch level, but also with less delegated authority and reduced reliance on local expertise. Better-connected branches also make larger, longer-maturity loans but face higher default rates, consistent with reduced reliance on soft information in lending. These findings suggest that improved communication technology encourages investment in management practices and financial technologies while reducing banks' reliance on local decision-makers. This complements evidence that communication technology centralises decision-making within firms (Bloom et al., 2014) by showing how it changes banks' use of soft information in lending (Petersen and Rajan, 2002).

My next projects in this area will focus directly on the consequences of organisational design for credit allocation: how banks' objectives and incentives shape lending decisions through their internal hierarchies, and what determines their ability to direct credit toward underserved firms. Funding for these projects has already been secured.

With Nicola Limodio and Ralph de Haas, and with funding from the EBRD, I am developing a cross-country project on how banks' objectives and internal incentives shape who gets credit. Whereas much of the existing literature infers banks' objectives from ownership or observed lending behaviour (e.g. Sapienza, 2004), we propose to measure objectives and incentives directly at every level of the hierarchy. We will measure these from the C-suite to branch managers and loan officers, together with delegation and management practices at the branch level. This allows us to study not only banks' objectives, but whether these aims reach the people who make lending decisions, and how the (lack of) alignment of these objectives shapes lending. We will link these measures to credit-registry and firm-level data to study how they shape credit allocation and firm growth. Finally, we will use experimentally induced variation in banks' organisational design, together with bank-level shocks, to study how organisation causally affects lending and the transmission of shocks to borrowers.

With Thorsten Beck and Samir Kiuhan, I will study the effect of expanding access to credit lines for retail lenders in sub-Saharan Africa. We will do so through the evaluation of the African Women Enterprise Fund, which offers lenders liquidity and impact-linked incentives, with pricing tied to their social performance, to expand lending to women-led small firms. We ask whether changing lenders' private returns to social lending changes their objectives, and whether this improves access to capital for female entrepreneurs. A key contribution of this project is that we will collect detailed data on banks' internal organisation building on the EBRD's BEPS survey. This will help us understand what determines their ability to translate this credit facility, and these new incentives, into benefits for borrowers.

Research Area II: Rules, Norms, and Managerial Decision-Making

The second strand of my research studies how firms shape managerial decisions once authority has been delegated. Firms cannot fully specify or monitor every decision their managers make, but can influence their choices through rules, the types of managers they employ, and organisational norms. A large theoretical literature studies the trade-off between rules and discretion (e.g. Battigalli and Maggi, 2002), while empirical work has established that individual managerial styles matter for firm decisions (Bertrand and Schoar, 2003). Yet we know relatively little about the rules managers actually follow, how managerial styles are valued by firms, and how firms use norms to guide decisions. My research develops new tools to measure these aspects of managerial decision-making and studies their consequences for firm performance and the allocation of employment opportunities.

In "Management as Rules: Evidence from an Adaptive Bayesian Questionnaire", I develop an adaptive Bayesian questionnaire that recovers a manager's rulebook: the share of decisions governed by rules, and the share left to discretion. Applying it to HR managers in Ethiopian firms, I find that firms with a more rule-based managerial style tend to perform better in periods of stability, but are also more negatively affected by a large economic shock, in this case COVID-19 restrictions. This suggests a trade-off between the benefits of rules for decision-making in stable environments and the rigidity they impose when firms need to adapt (Li et al., 2022). I am currently preparing a draft for submission to *Management Science*.

Firms can also shape decisions through the types of managers they employ. In "Management Style under the Spotlight: Evidence from Studio Vignettes", with Girum Abebe, Marcel Fafchamps, Michael Koelle and Simon Quinn, we introduce a new method for measuring managerial traits: young professionals respond on camera to management vignettes performed by actors in a studio. Using a Bayesian hierarchical model on responses from 982 young Ethiopian professionals, we identify four managerial archetypes: rule-based, affiliative, power-based and discretion-based. Incentivised experiments with HR managers in 576 firms show that firms consistently prefer the rule-based style for entry-level roles. We also show that managerial style can be acquired through labour market experience, including exposure induced by an earlier field experiment. This effect is driven entirely by individuals whose parents did not complete primary school, suggesting that the acquisition of managerial traits can

contribute to inequality in access to employment. We submitted this paper to the *Journal of Political Economy* in February, and recently received a rejection with split referees. We will submit again soon to the *Quarterly Journal of Economics*.

Organisations can also shape decisions through norms rather than formal rules. In "Organisational Values, Decision Fatigue and Inclusion: Evidence from a Field Experiment", with Girum Abebe, Siân Brooke, Tom Gole and Simon Quinn, we run a field experiment with evaluation panels and show that bias against female candidates emerges over the course of repeated assessments, which we interpret as a form of decision fatigue. A simple message about the organisation's commitment to equality offsets this bias, showing how organisations can influence individual decisions through the communication of their values. We have recently submitted this to the *Review of Economic Studies: Insights*.

I plan to extend my work on rules in organisations in two projects. The first, joint with Alfonso Gambardella, studies how corporate boards choose between formalising decision rules and exercising discretion. In particular, we ask how this choice depends on the nature of decisions, contrasting repeated decisions that can be codified with those requiring more independent, theory-based reasoning. The second will study the difference between de facto and de jure rules in firms: what determines whether individual decision-makers follow the rules that firms seek to implement, and how the enforcement of these rules affects firm performance.

My work on management styles also raises the question of whether targeted interventions can provide the professional socialisation that individuals from less advantaged socioeconomic backgrounds might otherwise acquire through labour market experience, and how this in turns affects both their employability and productivity once in employment. I plan to study this in future work.

Across both strands, my work combines new measures of how organisations make decisions with administrative and experimental data, mostly from Ethiopia. Over the coming years, I plan to extend this approach to more countries and settings, through the cross-country banking project and further applications of my measurement tools. The broader aim is to understand how the allocation of authority and the ways firms guide managerial decisions shape access to credit and employment, and ultimately how firms in developing economies grow.

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